

18. OBJECTIVE ELEMENTS, SCOPE OF PROTECTION

INTRODUCTION TO THE LEGAL SYSTEM – MODULE I

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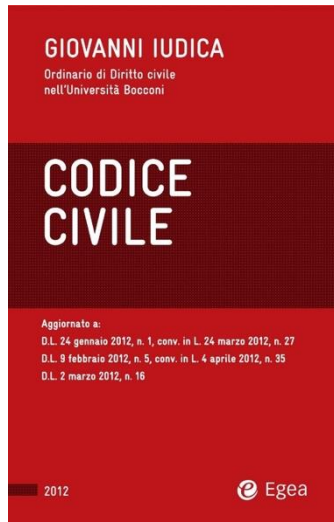
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OBJECTIVE ELEMENTS

1. Injurer: Activity / behavior (intentional or negligent)

- In tort law, legal effects are associated with conducts which are conscionably and voluntarily carried out by a person



Art. 2046 c.c.

He who caused a damage is not liable, when he acted unconscionably and involuntarily, unless his unconscionableness and involuntarily were due to his own negligence

OBJECTIVE ELEMENTS

2. Causation: linking the event triggering the liability of the defendant with the damage suffered by the victim

Two main approaches to the problem:

- **2.A - “but for” causation (*conditio sine qua non*)**: it requires that the damage would not have occurred in the absence of a certain activity or event
BUT: By applying this parameter, the scope of the causal chain could be extended almost *ad infinitum*
- **2.B - “adequate cause theory”**: the conduct of the injurer is adequate cause of the damage if it is generally likely to:
 - produce a result such as that which occurred
 - or significantly increased the likelihood of that result occurring



CAUSATION



Two ships (Edelweiss and HH9) moored side by side in a lock.

The ships' operators were asked to report the width of their vessels before the water level in the lock was lowered, so that the harbor staff could safely organise the mooring operations.

The **operator of HH9 mistakenly understated the width of the ship**, resulting in the two ships **becoming stuck in the lock during the subsequent operation**. The **rescue operation was improperly executed** by the lock personnel and as a result the **Edelweiss was submerged and sank**.

The insurer of the Edelweiss sued the insurers of the HH9 for damages in tort. (The incorrect width information was the «but for» cause of the accident).

CAUSATION

BGH 23.10.1951

Plaintiff's claim was dismissed on the ground of the «adequate cause» theory.

(The mistake by the lock personnel was the adequate cause for the damage)



The assumption that the fault of the HH9 operator directly caused the injury is not correct.

«But for causation» goes too far in placing the full burden of the consequences of each such cause on the person who initiated it.

«Adequate causation» is meant to allow individual events that are conditions for a result – in the logical sense that the result would not have occurred but for them – to be excluded from causation in the legal sense.

OBJECTIVE ELEMENTS

3. Damage: compensable losses relevant in tort liability do not cover any kind of harm

Compensable damage

Firm A deliberately avoids to install the technical measures prescribed by law in order to control pollution. This creates an emission of toxic pollutants which spoils the field of a neighboring farm

NON- Compensable damage

Mr Johns is very idle and postpones the renovation that his property would need. This creates protests by his neighbors who complain that his spoiled building ruins the decorum, and the public view, of their street

The understanding of the legal notion of **damages** gives us the idea of the exact scope of tort liability.

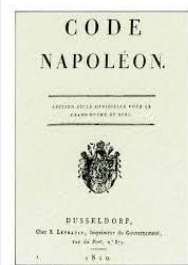


SCOPE OF TORT LIABILITY

Different Tort law systems

- **Rules-based (typical)** approach to tort law: Legal systems characterized by a set of causes of action defined by law
E.g. Common law tradition / German system
- **Principle-based (atypical)** approach to tort law: formulation of an abstract rule providing a comprehensive discipline of tort liability
E.g. French / Italian systems

SCOPE OF TORT LIABILITY

German Civil Code	French Civil Code (after the 2016 reform)
Section 823(1)	Articles 1240, 1241
A person who, intentionally or negligently, unlawfully injures the life, body, health, freedom, property or another right of another person is liable to make compensation to the other party for the damage arising from this. 	Any act whatever of man, which causes damage to another, obliges the one by whose fault it occurred, to compensate it. Everyone is liable for the damage he causes not only by his intentional act, but also by his negligent conduct or by his imprudence. 

SCOPE OF TORT LIABILITY

Loss suffered by individuals / Legal concept of compensable damage

In a **rule-based system**, the limitation of the legal interests that can be protected by tort law is set ex ante by the law

In a **principle-based system**, this limitation results from the interpretation of the general clause introducing tort liability by the courts (i.e., case-law)

Notwithstanding the differences in the approach to tort law, all Western legal systems allow for compensation for (e.g.):

- physical injuries
- personality and privacy rights
- damage to property

(i.e. *Absolute rights* in the civil law tradition)



SCOPE OF PROTECTION – EVOLUTIONS

Compensable damages: ITALY (Art. 2043)

Tort liability in Italy has been progressively extended over the last half century in a number of ways, including the award of damages for economic loss arising from relative rights

E.g.

- Court of Cassation, Third Civil Division, **4 July 1953**, n. 2085
 - *Associazione calcio Torino v. Soc. A.L.I.*
- Court of Cassation, Joint Civil Divisions, **26 January 1971**, n. 174
 - *S.p.a. Torino calcio v. Romero*



SCOPE OF PROTECTION

Court of Cassation, 4 July 1953, n. 2085

Associazione calcio Torino v. Soc. A.L.I.

On 4 May 1949, a plane (Italian Airlines) carrying the entire Torino football team, crashed into the walls behind of the Basilica of Superga, on the hill above Turin, killing 31 people.

The Torino football team sued the airline for **compensation for the extinction of its credit rights to the footballers** as a result of their death in the crash.

The legal relationship between Torino and its players was based on contractual/relative rights.

As the plaintiff did not claim injury to an asset falling within the protected category of “absolute subjective rights”, liability was denied



SCOPE OF PROTECTION

Cassazione, 26 January 1971, n. 174

S.p.a. Torino calcio vs. Romero

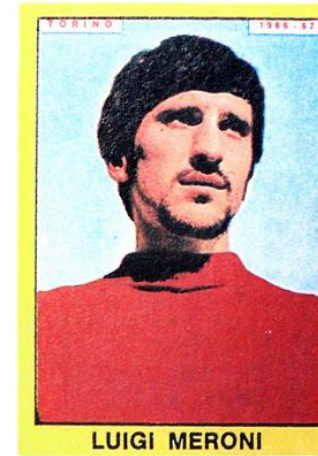
Luigi Meroni was a famous Italian professional footballer who played as a winger for Torino.

On 15 October 1967, at the age of 24, **Meroni was killed by a car driven by Mr Romero.**

The Torino football team sued Romero **for compensation for the extinction of their credit rights with the footballer.**

After 18 years separating the two cases, which present strikingly similar issues and facts, the Court of Cassation reverses itself.

Relative rights can be protected by tort law



19. REMEDIES AND PRODUCT LIABILITY

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REMEDIES

Monetary damage

Pecuniary compensation equal to the value of the loss suffered by the plaintiff/claimant (the loss suffered and the loss of profit, depending on causation)

Restitution to the original position

Restoration of the situation in which the plaintiff/claimant would have been if the facts giving rise to tort liability had not occurred.

- If it is materially feasible
- If it is not too burdensome (costly) for the debtor

MONETARY DAMAGES

Compensatory damages (i.e. equal to the harm suffered by the victim)

- Purpose: to help the victim recover what has been lost
- Idea of tort liability as based on compensation and distributive justice
- The injured party must prove the damage suffered
- Ex. Art. 1223 Italian Civil Code

MONETARY DAMAGES

Move towards *punitive damages* (i.e. higher than the loss suffered by the victim):

- Intended to punish the tortfeasor
- Intended to make an “example”
- Should deter others from the same behavior and prevent the tortfeasor from repeating the behavior
- To compensate the victim for an otherwise non-compensable loss
- Intended to pay the victim’s legal fees

PUNITIVE DAMAGES

Common law

- Punitive damages awards are usually recognized
- It is most common in the United States



Civil law

- In principle, tort law has only a compensatory function
- Punitive damages are increasingly accepted in Continental Europe

BMW OF NORTH AMERICA, INC. V. GORE, 517 U.S. 559 (1996)

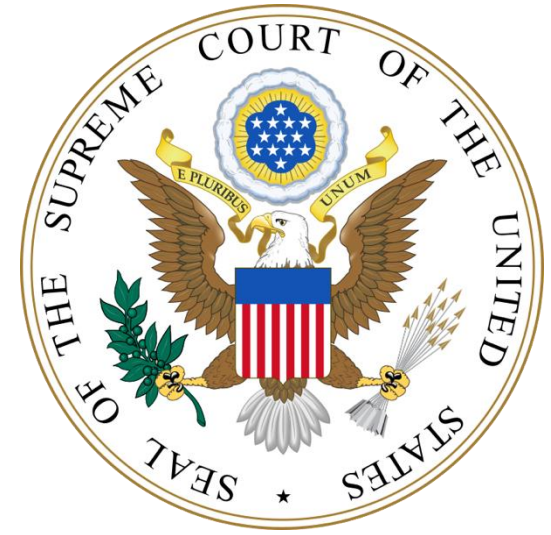
Gore bought a new BMW and later discovered that the car had been repainted before he bought it. BMW revealed that **its policy was to sell damaged cars as new if the damage could be repaired for less than 3% of the cost of the car.** Over a period of several years, BMW repaired damaged vehicles and sold them as new to unsuspecting buyers as a matter of routine business.

Dr Gore sued BMW and an Alabama jury awarded him \$4,000 in compensatory damages (lost value of the car) and ...

\$4 million in punitive damages, later reduced to \$2 million by the Alabama Supreme Court



Do high punitive damages violate the Due Process Clause of the Constitution?



Excessively high punitive damages in this case violate the Due Process Clause. For punitive damages to be justified, they must be reasonably necessary to vindicate the State's legitimate interest in punishment and deterrence.

- The degree of reprehensibility of the defendant's conduct
- The ratio to the compensatory damages awarded (actual or potential harm to the plaintiff)
- A comparison between the punitive damages awarded and the civil or criminal penalties that could be imposed for comparable misconduct

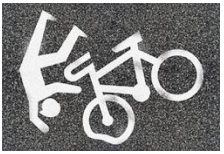
NON-PECUNIARY LOSSES

Compensation for non-pecuniary damage is justified in cases where the victim has suffered personal injury or injury to human dignity, freedom or other personality rights. Non-pecuniary damages may also be awarded to persons closely related to a victim who has suffered a fatal or very serious non-fatal injury

- Non-pecuniary damage does not involve a diminution of the victim's patrimony
- All European tort systems provide for compensation for this type of damage, although the scope and details of the regimes vary considerably

ASSESSMENT OF A NON-PECUNIARY DAMAGE

- It is impossible to draw up a rigid tariff of awards
- Degree of comparability in the treatment of substantially similar cases
- Typically, the **gravity, duration and consequences of the wrong** are central to the determination of an appropriate sum
- Some tort systems take into account the conduct of the tortfeasor in determining the amount of damages to be granted
- **Methods of assessment vary:** judges usually rely on tables quantifying different impairments (loss of an eye, loss of a leg, etc.), sometimes the law sets precise amounts



UK Supreme Court, *Cox v. Ergo Versicherung AG* [2014]

Major Cox, an officer serving with H.M. Forces in Germany, was riding his bicycle on the side of a road near his base when a car left the road and hit him, causing injuries as a result of which he died.

Major Cox's widow, Katerina, was living with him in Germany at the time of the accident. She returned to England after the accident. She has since formed a new relationship and has two children with her new partner.

Liability is not in dispute.

Which kind of damages is Katerina entitled to recover?

Pecuniary losses

Non-pecuniary losses

German law



Pecuniary loss

§ 844(2) BGB

“If the person killed, at the time of the injury, stood in a relationship to a third party **on the basis of which he was obliged or might become obliged by operation of law to provide maintenance** for that person and if the third party has, as a result of the death, been deprived of his right to maintenance, then the person liable in damages must give the third party damages by payment of an annuity to the extent that the person killed would have been obliged to provide maintenance for the presumed duration of his life”

Non-pecuniary loss

- The German legal system does not provide damages for the non-pecuniary damage caused by the death of a relative. Pain and suffering must be proved by medical evidence in order to recover damages



Fatal Accident Act 1976

Pecuniary loss

- “In an action under this Act where there fall to be assessed damages payable to a widow in respect of the death of her husband **there shall not be taken account the re-marriage of the widow or her prospects of remarriage**”

Non-pecuniary loss

- Non-pecuniary loss is quantified at £ 12,980 for each member of the deceased's family (bereavement damages). **They are awarded as a lump sum**, effectively a '*solatium*' (compensation for injury to feelings)

Two are the relevant ways in which an award under the Fatal Accidents Act may differ from an award under the BGB (i.e., the German Civil Code)

- (1) Damages awarded to a widow under the BGB will take into account any legal right to maintenance by virtue of a subsequent remarriage or a subsequent non-marital relationship following the birth of a child. **Section 3(3) of the Fatal Accidents Act expressly excludes remarriage or the prospect of remarriage as a relevant consideration under English law.**
- (2) Section 844 of the BGB does not confer a right to a solatium for bereavement. Under Section 823 of the BGB the widow may in principle be entitled to compensation for her own pain and suffering, but this would require evidence of suffering going beyond normal grief and amounting to a mental disturbance comparable to physical injury.

German law applies!



NON-PECUNIARY DAMAGE

2019, Milan, graduation day: a graduate student waits for his father to arrive from Bari to attend his beloved son's ceremony.



The Ryanair flight, which was due to leave at 6.30 a.m., was **delayed for 12 hours** and the father misses the ceremony. He sues Ryanair

Giudice di Pace di Bari, 13.3.2021 grants damages, as follows:

250 € as economic loss

73 € as reimbursement of expenses (cost of round-trip flight)

500 € as non-pecuniary loss



A SPECIAL CASE: PRODUCT LIABILITY

Tort liability for damages caused by defective products: a policy concerns since the second half 20th century, with the development of mass industrial production and the expansion of the scale of distribution chains between producers and suppliers of goods.

On the one hand, the industrial process has increased the risk of harm to consumers.

On the other hand, the traditional principles of tort law have proved to be somewhat ineffective in providing redress to individuals who have been harmed by a defective product.



A SPECIAL CASE: PRODUCT LIABILITY

Mr White receives a microwave oven as a gift. This product has an **internal manufacturing defect**, and, when switched on, it explodes, causing physical injury to its owner and damage to the furniture in his kitchen

- **No direct contractual relationship** with the producer/manufacturer
 - *Privity of contract prevents Mr White from suing the manufacturer for breach of a contractual duty*
- **Burden of proof in tort law**
 - *Subjective elements: Fault*
 - Was the defect in the production process technically avoidable?
 - *Objective elements: Causation*
 - *Did the defect originate in the production phase, or in the subsequent distribution and sale activities?*

EUROPEAN TORT LAW. PRODUCT LIABILITY

EU intervention on producer liability for consumer goods

Rationale: Harmonized principles of consumer protection in the EU market

Directive **85/374/EEC** of **25 July 1985** *on the approximation of the laws, regulations and administrative provisions of the Member States concerning liability for defective products*

- Strict liability regime for European producers
- Liability without fault on the part of the producer is the only means of adequately solving the problem of fair distribution of the risk inherent in modern technological production, a problem which is peculiar to our age of increasing technical sophistication

EUROPEAN TORT LAW. PRODUCT LIABILITY

Directive 85/374/EEC of 25 July 1985 on the approximation of the laws, regulations and administrative provisions of the Member States concerning liability for defective products

A **product is defective** if it does not provide the safety which a person is entitled to expect, taking all circumstances into account, including:

- the presentation of the product
- the reasonable use of the product
- the time when the product was placed on the market

Categories of defects

- Defected manufacturing
- Defective design (difficult for the producer to control)
- Failure to warn

EUROPEAN TORT LAW. PRODUCT LIABILITY

Directive 85/374/EEC of 25 July 1985 on the approximation of the laws, regulations and administrative provisions of the Member States concerning liability for defective products

The producer shall not held liable if he proves that:

- he did not put the product into circulation
- the defect appeared after the product was put into circulation
- the product was not manufactured to be sold or distributed for profit
- the defect is due to the product's compliance with mandatory regulations issued by the public authorities
- ...

Member States may take measures by way of derogation

- In cases where the state of scientific and technical knowledge at the time when the product was put into circulation was insufficient to identify the defect
 - Development risk

PRODUCT DEVELOPMENT RISK

Mineral water bottle explodes!

BGH, 9 May 1995



A nine-year-old girl suffered **serious eye injuries** when a **bottle of mineral water exploded** while she was carrying it. Evidence showed that the explosion was caused by **a 4 mm chip in the bottle**.

The particular bottle that caused the injury was somehow damaged during the refilling process. The manufacturer had claimed that the defective bottle was the “odd unit” which, **despite all the precautions** taken during the refilling process, **suffered from a manufacturing defect**.

The manufacturer argued that it should be exonerated under the Directive by virtue of the product development risk clause.

PRODUCT DEVELOPMENT RISK



Does the ‘product development clause’ apply to ‘manufacturing defects’ or does it only apply ‘to design defects’?

Development risks exist only in cases where the harmful characteristics causing the damage could not have been discovered by scientific and technological means at the time the product was placed on the market... Development risks are only those dangers inherent in the design of a product, not defects that cannot be avoided during the manufacturing process. During the work on the EC-Directive on Product Liability, it was agreed that only design defects, but not manufacturing defects, would qualify for consideration under Art. 7 (e).

EUROPEAN TORT LAW. PRODUCT LIABILITY

Directive 85/374/EEC of 25 July 1985 on the approximation of the laws, regulations and administrative provisions of the Member States concerning liability for defective products

The Directive applies to damage

- caused by death or by personal injury
- caused to an item of property intended for private use or consumption

The consumer's burden of proof is limited to

- the actual damage
- the defect in the product
- the causal link between the damage and the defect